



(a subsidiary of **uac** of nigeria plc)

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Website: www.livestockfeedsplc.com
Regd. Number - RC. 3315

BRANCHES:

IKEJA MILL

I, Henry Carr Street,
P.M.B. 21097, Ikeja.
Lagos State

ABA MILL

12, Industrial Layout
P.M.B. 7119, Aba
Abia State

NORTHERN OPERATIONS

77, Gunduwawa Industrial Area,
Off Hadejia Road,
Tokorawa,
Kano State

UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2026

Board of Directors:

Joseph I.D. Dada (*Chairman*), **Adegboyega Adedeji** (*Managing Director*)
Abayomi Adeyemi, Adebolanle Badejo, Temitope Omodele, Chiamaka N. Uwaegbute

Statement of Profit or Loss and Other Comprehensive Income

		3 months to June 2026	6 months to June 2026	3 months to June 2025	6 months to June 2025
<i>For the Period ended 30 June 2026</i>			N'000	N'000	N'000
Revenue	5	7,188,498	14,823,521	9,998,999	20,802,926
Cost of sales	8(i)	(5,830,025)	(11,776,532)	(8,573,116)	(17,843,917)
Gross profit		1,358,473	3,046,989	1,425,883	2,959,009
Other operating income	9	42,375	76,196	26,732	63,168
Selling and distribution expenses	8(ii)	(89,881)	(183,809)	(66,795)	(153,485)
Administrative expenses	8(iii)	(451,570)	(844,951)	(404,961)	(816,427)
Operating profit		859,397	2,094,426	980,859	2,052,265
Finance income	10	272	1,371	621	1,257
Finance costs	11	(381,987)	(761,491)	(885,698)	(1,900,696)
Net finance cost		(381,715)	(760,120)	(885,077)	(1,899,439)
Profit before tax		477,682	1,334,306	95,782	152,826
profit before taxation		477,682	1,334,306	95,782	152,826
Income tax expense	14(i)	(67,217)	(192,126)	(31,608)	(50,433)
profit for the year		410,465	1,142,180	64,174	102,393
Total comprehensive (loss)/income for the year		410,465	1,142,180	64,174	102,393
Earnings per share (kobo)					
Basic earnings for the year attributable to ordinary equity holders	15	13.68	38.07	2.14	3.41
Diluted earnings for the year attributable to ordinary equity holders	15	13.68	38.07	2.14	3.41

The accompanying notes form an integral part of these financial statements.

Statement of Financial Position

As at 30 June 2026

		2026 N'000	2025 N'000
Assets			
Non-current assets			
Property, plant and equipment	16(a)	2,078,857	1,858,321
Intangible assets	17	73,235	102,033
Right of use assets	21	420,228	445,192
Prepayments	20	-	8,252
Total non-current assets		2,572,320	2,413,799
Current assets			
Inventories	18	11,283,743	6,721,783
Trade and other receivables	19	517,058	113,009
Refund assets	19	8,153	8,153
Prepayments	20	135,313	228,611
Other financial assets	23	17,283	17,283
Cash and cash equivalents	22	630,063	633,847
Total current assets		12,591,613	7,722,686
Total assets		15,163,933	10,136,485
Equity			
Issued capital	24	1,500,000	1,500,000
Share premium	24	693,344	693,344
(Accumulated deficit)/Retained earnings		(663,456)	(1,805,636)
Total equity		1,529,888	387,708
Non-current liabilities			
Lease liabilities	26	253,030	213,454
Employee benefits	34(iv)	658,380	508,380
Total non-current liabilities		911,410	721,834
Current liabilities			
Trade and other payables	25	12,215,498	8,711,932
Refund liabilities	25(ii)	8,195	8,195
Current tax liabilities	14(iv)	400,590	208,464
Dividend payable	27	17,384	17,384
Lease liabilities		80,965	80,965
Total current liabilities		12,722,632	9,026,942
Total liabilities		13,634,042	9,748,776
Total equity and liabilities		15,163,933	10,136,485

The Financial statements was approved and authorised for issue by the Board of Directors on 23 July 2026 and was signed on its behalf by:



Chairman
Dr. Joseph Dada
FRC/2016/PRO/DIR/003/00000014735



Managing Director
Mr. Adedeji Adegboyega
FRC/2020/PRO/DIR/003/00000001



Chief Financial Officer
Mr. Adekunle Adepoju
FRC/2013/PRO/ICAN/001/00000004478

The accompanying notes form an integral part of these financial statements.

Statement of Changes in Equity

For the Period ended 30 June 2026

	Issued capital N'000	Share premium N'000	Retained earnings/ (Accumulated deficit) N'000	Total equity N'000
Balance at 1 January 2025	1,500,000	693,344	1,191,326	3,384,670
Profit /(loss)for the year	-	-	(2,996,961)	(2,996,961)
OCI for the year	-	-	-	-
Total comprehensive income for the year	-	-	(2,996,961)	(2,996,961)
Balance at 31 December 2025	1,500,000	693,344	(1,805,636)	387,708
Balance at 1 January 2026	1,500,000	693,344	(1,805,636)	387,708
Profit for the year	-	-	1,142,180	1,142,180
OCI for the year	-	-	-	-
Total comprehensive income for the year	-	-	1,142,180	1,142,180
Balance at 30 June 2026	1,500,000	693,344	(663,456)	1,529,888

The accompanying notes form an integral part of these financial statements.

Statement of Cash Flows
For the Period ended 30 June 2026

	Notes	2026 N'000	2025 N'000
Operating activities			
Profit before tax		1,334,306	152,827
Adjustments for:			
Depreciation of property, plant and equipment	13	135,991	123,488
Amortisation of intangible assets	13(i)	28,799	28,799
Depreciation of right of use assets	21	24,964	24,964
Gain on disposal of property, plant and equipment	9	(1,116)	(55)
Finance cost	11	761,491	1,366,794
Finance income	10	(1,371)	(1,257)
Provision for long term employee benefits	34(iv)	150,000	150,000
		2,433,064	1,845,559
Changes in working capital:			
Decrease/(Increase) in inventories	18	(4,561,960)	1,692,473
(Increase)/Decrease in trade and other receivables	19	(404,049)	(360,169)
Decrease/ (Increase) in prepayments	20	101,550	98,960
Increase in trade and other payables	25	2,783,345	6,642,856
Cash outflow generated from operating activities		351,950	9,919,679
Income tax paid	14(iii)	-	(821,759)
Net cash flows generated from/ (used in) operating activities		351,950	9,097,919
Investing activities			
Interest received	10	1,116	1,045
Proceeds from disposal of PPE	9	1,116	55
Acquisition of intangible assets	17	-	(14,849)
Purchase of property, plant and equipment	16(a)	(356,529)	(223,249)
Net cash flows used in investing activities		(354,297)	(236,998)
Financing activities			
Interest paid		-	(1,589,886)
Proceeds from borrowings	28	-	8,010,146
Repayment of borrowings	28	-	(15,849,185)
Net cash flows generated from financing activities		-	(9,428,924)
Net Increase/(decrease) in cash and cash equivalents		(2,347)	(568,003)
Cash and cash equivalents at 1 January		633,847	1,190,658
Net effects of movement of exchange rates on cash held		(1,438)	212
Cash and cash equivalents at 30 June 2026	22	630,063	622,867

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

For the period ended 30 June 2026

1 Reporting Entity

Livestock Feeds Plc was incorporated on 20th March, 1963 and commenced business on 20th May, 1963. The Company was quoted on the Nigerian Stock Exchange in 1978. The Company is engaged principally in the manufacturing and marketing of animal feeds and concentrates. The registered office of the Company is located at 1 Henry Carr Street, Ikeja Lagos. The parent Company is UAC of Nigeria Plc.

Statement of compliance

The Company's financial statements for the period ended 30 June 2026 have been prepared in accordance with with IAS 34 Interim Financial Reporting, IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards), and in the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria (Amendment) Act, 2023. Details of the Company's material accounting policies are included in Note 2.

The financial statements were authorized for issue by the Board of Directors on X June 2026.

2 Summary of material accounting policies

Basis of preparation

The financial statements are presented in Naira which is the Company's functional currency and all values are rounded to the nearest thousand (₦'000), except when otherwise indicated.

a) Basis of measurement

The financial statements have been prepared in accordance with the going concern assumption under the historical cost concept except for the following term.

Employee benefits: Present value of the obligation

b) Fair value measurement

The Company measures its financial instruments at fair value at each reporting date mainly for disclosure purpose. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

b) Fair value measurement

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy, as explained above.

c) Revenue from contracts with customers

The Company is into agricultural business for the manufacturing and marketing of animal feeds and concentrates.

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. The Company has generally concluded that it is the principal in its revenue arrangements, because it typically controls the goods or services before transferring them to the customer.

The Company has applied IFRS 15 practical expedient to a portfolio of contracts (or performance obligations) with similar characteristics since the Company reasonably expects that the accounting result will not be materially different from the result of applying the standard to the individual contracts. The Company has been able to take a reasonable approach to determine the portfolios that would be representative of its types of customers and business lines. This has been used to categorise the different revenue stream detailed below.

The disclosures of material accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 5.

At contract inception, the Company assesses the goods or services promised to a customer and identifies as a performance obligation each promise to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

The Company has identified one distinct performance obligations:

Performance Obligation	When Performance Obligation is Typically Satisfied	When Payment is Typically Due	How Standalone Selling Price is Typically Estimated
Animal feeds	Upon delivery (point in time)	Within 90 days of delivery	Not applicable
	When control of the feeds passes to the customer; typically upon delivery	Within 90 days of delivery	Not applicable

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

c) Revenue from contracts with customers (cont'd)

Contract for the sale of feeds and concentrates begins when goods have been delivered to the customer and revenue is recognised at the point in time when control of the goods has been transferred to the customer, generally on delivery of the goods. The normal credit term is 90 days upon delivery.

The Company considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated (if any). In determining the transaction price for the sale of feeds and concentrates, the Company considers the existence of significant financing components and consideration payable to the customer (if any).

i. Significant financing component

Using the practical expedient in IFRS 15, the Company does not adjust the promised amount of consideration for the effects of a significant financing component since Livestock feeds Plc expects, at contract inception, that the period between the transfer of the promised good or service to the customer and when the customer pays for that good or service will be one year or less.

ii. Variable consideration

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

Volume incentives and trade discounts

When customers meet a set target in a particular month the Company gives a volume incentive. Trade discounts of 20% are given to customers which is determined at the inception of the contract and are set-off against revenue.

Rights of return

Some contracts for the sale of Animal feeds provide customers with a right of return and volume rebates. When a contract provides a customer with a right to return the goods within a specified period, the consideration received from the customer is variable because the contract allows the customer to return the products. The Company used the expected value method to estimate the goods that will not be returned. For goods expected to be returned, the Company presented a refund liability and an asset for the right to recover products from a customer separately in the statement of financial position.

Assets and liabilities arising from rights of return;

Refund assets

Refund assets represent the Company's right to recover the goods expected to be returned by customers. The assets is measured at the former carrying amount of the inventory, less any expected costs to recover the goods, including any potential decreases in the value of the returned goods.

Refund liabilities

A refund liability is the obligation to refund some or all of the consideration received (or receivable) from the customer and is measured at the amount the Company ultimately expects it will have to return to the customer.

The Company updates its estimates of refund (and the corresponding change in the transaction price) at the end of each reporting period.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

c) Revenue from contracts with customers (cont'd)

iii. Principal vs Agent consideration

When another party is involved in providing goods or services to its customer, the Company determines whether it is a principal or an agent in these transactions by evaluating the nature of its promise to the customer. The Company is a principal and records revenue on a gross basis if it controls the promised goods or services before transferring them to the customer. However, if the Company's role is only to arrange for another entity to provide the goods or services, then the Company is an agent and will need to record revenue at the net amount that it retains for its agency services.

Practical Expedients

Revenue Recognition

Livestock Feeds Plc (LSF) has elected to make use of the following practical expedients:

- LSF opted for the use of one year or less practical expedients for significant financing component.
- LSF applies the practical expedient in paragraph 121 of IFRS 15 and does not disclose information about remaining performance obligations that have original expected durations of one year or less.

Other income

This comprises majorly profit from sale of plant and equipment, sales of sacks, government grant, etc.

The profit on disposal is calculated as the difference between the net proceeds and the carrying amount of the assets.

d) Taxes

Current income tax

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity or in other comprehensive income. Current income tax is the estimated income tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the statement of financial position date, and any adjustment to tax payable in respect of previous years.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year, and any adjustment to tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date and is assessed as follows:

Tertiary Education Tax

Tertiary Education Tax is charged on the assessable profit of the Company at the rate of 3%. The assessable profit of the Company is ascertained in the manner specified in the Companies Income Tax Act (CITA). The assessable profit is arrived at by adjusting the profit before tax with non-deductible expenses and non-taxable income based on the Companies Income Tax Act. The Company offsets the tax assets arising from withholding tax credits and current tax liabilities if, and only if, the entity has a legally enforceable right to set off the recognized amounts, and it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

d) Taxes (cont'd)

Deferred tax

Deferred tax assets and liabilities are recognised where the carrying amount of an asset or liability differs from its tax base. Deferred taxes are recognized using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes (tax bases of the assets or liability). The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted by the reporting date.

Deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Additional income taxes that arise from the distribution of dividends are recognised at the same time as the liability to pay the related dividend is recognised.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

National Information Technology Development Agency Levy

National Information Technology Development Agency Levy is computed on Profit before tax but it is not applicable to the Companies in agricultural sector.

Nigeria Police Trust Fund Levy

Nigeria Police Trust Fund Levy is computed on the net profit(i.e. profit deducting all expenses and taxes from revenue earned by the Company during the year) and is governed by the Nigeria Police Trust Fund (Establishment) Act,2019.

e) **Foreign currencies transaction**

In preparing the financial statements of the Company, transactions in currencies other than the entity's presentation

currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the re-translation of unsettled monetary assets and liabilities denominated in foreign currencies are recognised in the statement of profit or loss and other comprehensive income within other operating income.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

f) Cash dividend

The Company recognises a liability to pay a dividend when the distribution is authorised and the distribution is no longer at the discretion of the Company. Based on the corporate laws of Nigeria, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity. However, where interim dividend is declared by the Board, it is recognised in the liability pending the approval of the shareholders. Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the statement of financial position date where applicable.

g) Property, plant and equipment

Recognition

Items of property, plant and equipment are measured at cost less accumulated depreciation and impairment losses. The cost of property, plant and equipment includes expenditures that are directly attributable to the acquisition of the asset. Property, plant and equipment under construction are disclosed as capital work-in-progress.

Where parts of an item of property, plant and equipment have different useful lives, they are accounted for as a separate item of property, plant and equipment and are depreciated accordingly. Subsequent costs and additions are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Capital work in progress are uncompleted projects and they are not depreciated. Depreciation starts when the projects are completed and transferred to the relevant asset class.

All other repairs and maintenance costs are charged to the statement of profit or loss and other comprehensive income during the financial period in which they are incurred. Depreciation is recognised so as to write off the cost of the assets less their residual values over their useful lives, using the straight-line method on the following bases:

Major overhaul expenditure, including replacement spares and labour costs, is capitalised and amortised over the average expected life. The depreciation commences immediately the asset is available for intended use.

Depreciation on other assets is calculated using the straight line method to allocate their cost over their estimated useful lives, as follows:

Leasehold Land	5 to 25 years
Building	10 to 33 years
Machinery & Equipment	2 to 10 years
Motor Vehicle	
- Automobile	1 to 10 years
- Truck	3 to 10 years
Computer Equipment	3 to 5 years
Office equipment	3 to 5 years
Capital work in progress	Nil

The estimated useful lives, residual values and depreciation methods are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

Derecognition

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefit is expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss within 'other operating income' in the year that the asset is derecognised.

The assets' residual values, useful lives and methods of depreciation are reviewed at each financial year end, with the changes in estimates accounted for prospectively.

h) Intangible assets

Computer software

Expenditure that enhances and extends the benefits of computer software beyond their original specifications and lives, is recognised as a capital improvement cost and is added to the original cost of the software. All other expenditure is expensed as incurred.

Amortisation is recognised in the profit/loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The residual values and useful lives are reviewed at the end of each reporting period and adjusted if appropriate. An Intangible asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible assets, measured as the difference between the net disposal proceeds and the carrying amount of the assets, are recognised in statement of profit or loss and other comprehensive income when the asset is derecognised. The useful life rate is 33.3%.

i) Financial instruments – initial recognition and subsequent measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

a) Financial assets

No changes were made in the objectives, policies or processes for managing capital during the periods ended 30 June 2026 and 2025.

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient, the Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under IFRS 15. Refer to the accounting policies in section (c) Revenue from contracts with customers.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

i) Financial instruments – initial recognition and subsequent measurement (cont'd)

In order for a financial asset to be classified and measured at amortised cost, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Company commits to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost includes trade receivables, and receivables from related parties.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is primarily derecognised (i.e., removed from the Company's statement of financial position) when:

- The rights to receive cash flows from the asset have expired
- Or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

i) Financial instruments – initial recognition and subsequent measurement (cont'd)

Derecognition (cont'd)

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments and other financial assets not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms (if any).

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL). The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For receivables from related parties (non-trade), and staff receivables, the Company applies general approach in calculating ECLs. It is the Company's policy to measure ECLs on such asset on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Company calculates ECLs based on a three probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

i) Financial instruments – initial recognition and subsequent measurement (cont'd)

Impairment of financial assets (cont'd)

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

- PD The Probability of Default is an estimate of the likelihood of default over a given time horizon.
- EAD The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise.
- LGD The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

When estimating the ECLs, the Company considers three scenarios (a base case, an upside, a downside). Each of these is associated with different PDs, EADs and LGDs. In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Oil price
- Exchange rate
- Inflation rate

Other Financial Assets

Other financial assets relate to 90% of the unclaimed dividend returned by the registrar of the company. This is in compliance with the directives of the Nigeria Securities and Exchange Commission. The amount is placed in a fixed deposit account where a fixed interest rate is earned.

b) Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, amortized cost, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings and are classified at amortised cost.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

i) Financial instruments – initial recognition and subsequent measurement (cont'd)

Financial liabilities at fair value through profit or loss (cont'd)

Gains or losses on liabilities held for trading are recognised in the statement of profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in IFRS 9 are satisfied. The Company has not designated any financial liability at fair value through profit or loss.

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate (EIR) method.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

iii) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

j) Inventories

Inventories are stated at the lower of cost and net realisable value, with appropriate provisions for old and slow moving items. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

Inventory quantities and values will be adjusted for spoilage, spillage and deterioration, expiration and any other loss as soon as it is discovered. Stock assessment must be carried out quarterly and the inventories should be measured at the lower of cost and net realizable value as provided for in IFRS. The comparison of cost and net realizable value should be carried out on an item-by-item basis but, where this is impracticable, groups of similar items shall be considered together. It is however, unacceptable to compare the total net realizable value of all inventories with their total purchase price or production cost. Where the net realizable value of an item is less than its cost, the excess is written off immediately in income statement.

Cost is determined as follows:-

Raw materials and packaging materials

Raw materials and packaging materials include purchase cost and other costs incurred to bring the materials to their location and condition are valued using weighted average cost.

Finished goods

Cost of direct materials and labour plus a reasonable proportion of overheads absorbed by manufacturing based on normal levels of activity.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

j) Inventories (cont'd)

Spare parts and consumables

Spare parts which are expected to be fully utilized in production within the next operating cycle and other consumables are valued at weighted average cost after making allowance for obsolete and damaged stocks.

k) Impairment of non-financial assets

Further disclosures relating to impairment of non-financial assets are also provided in the following notes:

- | | |
|---|------------|
| • Disclosures for significant assumptions | Note 4 |
| • Property, plant and equipment | Note 16(a) |
| • Intangible assets | Note 17 |

The Company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Company's of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

The Company bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Company's CGUs to which the individual assets are allocated.

An assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

l) Cash and bank balances

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term highly liquid deposits with a maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and bank balances, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

m) Provisions

A provision is recognized only if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The provision is measured at the best estimate of the expenditure required to settle the obligation at the reporting date.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small. The Company's provisions are measured at the present value of the expenditures expected to be required to settle the obligation.

n) Contingent liabilities and Contingent assets

A Contingent liability is a possible liability that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within control of the Company, or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligations; or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are only disclosed and not recognized as liabilities in the statement of financial position. If the likelihood of an outflow of resources is remote, the possible obligation is neither a provision nor a contingent liability and no disclosure is made.

Contingent assets are possible assets whose existence will be confirmed by the occurrence or non-occurrence of uncertain future events that are not wholly within the control of the entity. Contingent assets are not recognised, but they are disclosed when it is more likely than not that an inflow of benefits will occur.

o) Government grant

Benefits accruing to the Company on government assisted loans granted at a below market rate of interest is treated as a government grant. The benefit of such a government assisted loan is the difference between market rate of interest and the below market rate applicable to the government assisted loan. The grant so measured is recognised as income in the financial statements on a systematic basis over the tenor of the loan. No government grants were recognised during the year.

p) Pension and other post-employment benefits

i) Defined contribution scheme - pension

In line with the provisions of the Nigerian Pension Reform Act, 2014, Livestock Feeds Plc has instituted a defined contributory pension scheme for its employees. The scheme is funded by fixed contributions from employees and the Company at the rate of 8% by employees and 10% by the Company of basic, housing and transport allowance, and invested outside the Company through Pension Fund Administrators (PFAs) of the employees' choice.

The Company has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employees' service in the current and prior periods.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

i) Defined contribution scheme - pension (cont'd)

The matching contributions made by Livestock Feeds Plc to the relevant PFAs are recognised as expenses when the costs become payable in the reporting periods during which employees have rendered services in exchange for those contributions. Liabilities in respect of the defined contribution scheme are charged against the profit of the period in which they become payable.

Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

ii) Other long term benefits

Other long term benefits are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefit. The company's net obligation under other long term benefits is the amount of future benefits that employees have earned in return for their service in current and prior periods. The benefit is discounted to determine its present value and remeasurements are recognised in the profit or loss account in the period in which they arise.

iii) Profit-sharing and bonus plans

All full-time staff are eligible to participate in the profit-sharing scheme. The company recognises a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the company's shareholders after certain adjustments.

q) Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

i) Right-of-use-assets (ROU)

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

ii) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

Notes to the Financial Statements

For the period ended 30 June 2026

2 Summary of material accounting policies (cont'd)

iii) Short-term leases

The Company applies the short-term lease recognition exemption to its short-term leases assets i.e. Land and warehouses (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases are recognised as expense on a straight-line basis over the lease term.

r) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the internal chief operating-decision maker. The chief operating-decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Livestock Feeds Plc.

The Company's primary format for segment reporting is based on business operating segments. Where applicable, segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The basis of segmental reporting is geographical locations where the Company operates namely Ikeja for South west, Aba mill for South east, Onitsha operations for South south and Jos and Kano for the North.

s) Prepayments:

Prepayments are non-financial assets which result when payments are made in advance of the receipt of goods or services. They are recognized when the Company expects to receive future economic benefits equivalent to the value of the prepayments.

The receipt or consumption of the services is a reduction in the prepayment and a corresponding increase in expense or assets for that reporting period.

3 Application of new and revised International Financial Reporting Standards (IFRSs)

a) Amendments to IFRSs that are mandatorily effective for the current year

In the current year, the Company has applied a number of amendments to IFRSs issued by the International Accounting Standards Board (IFRS Accounting Standards) that are mandatorily effective for accounting period that begins on or after 1 January 2024.

i) Amendment to IAS 21 – Lack of exchangeability (effective 1 January 2025)

An entity is impacted by this amendment when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose.

The lack of exchangeability may occur, for example, because of government imposed controls on capital imports and exports, or the volume of foreign currency transactions that can be undertaken at an official exchange rate is limited. The amendments clarify when a currency is considered exchangeable into another currency and how an entity estimates a spot rate for currencies that lack exchangeability.

The amendments introduce new disclosures to help financial statement users assess the impact of using an estimated exchange rate.

The effective date of the amendment is for years beginning on or after 1 January 2025.

These amendments are not expected to have any material impact on the Company's financial statements.

Notes to the Financial Statements

For the period ended 30 June 2026

b) Standards issued but not yet effective

i) Amendments to IFRS 9 and IFRS 7: Classification and measurement of Financial Instruments

The amendments to IFRS 9 include guidance on the classification of financial assets, including those with contingent features. The IASB has also amended IFRS 7 Financial Instruments: Disclosures. Companies will now be required to provide additional disclosures on financial assets and financial liabilities that have certain contingent features that are not related directly to a change in basic lending risks or costs; and are not measured at fair value through profit or loss. This standard is effective from 1 January 2026.

The effective date of the amendment is for years beginning on or after 1 January 2026.

These amendments are not expected to have any material impact on the Company's financial statements.

ii) IFRS 9 amendments: Settlement by electronic payments

The IASB has amended IFRS 9 to clarify when a financial asset or a financial liability is recognised and derecognised and to provide an exception for certain financial liabilities settled using an electronic payment system.

Companies can choose to apply the exception for electronic payments on a system-by-system basis. Given the widespread use of electronic payment systems, determining whether the exception criteria would be met for each one may require significant time and effort.

If the derecognition exception criteria are not met, determining the settlement date may also present challenges and companies may be required to change their existing systems and processes. This standard is effective from 1 January 2026.

iii) IFRS 18 Presentation and Disclosure in Financial Statements

The standard aims to provide greater consistency in presentation of the income and cash flow statements, and more disaggregated information. It provides significant changes to how a company presents its income statement and what information needs to be disclosed, and making certain 'non-GAAP' measures part of the audited financial statements for the first time.

b) Standards issued but not yet effective (cont'd)

iii) IFRS 18 Presentation and Disclosure in Financial Statements (cont'd)

The effective date of the amendment is for years beginning on or after 1 January 2027.

The directors of the Company anticipate that these amendments are not expected to have material impact on the financial statements presentation.

iv) IFRS 19 Subsidiaries without public accountability: Disclosures (effective 1 January 2027)

IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19. A subsidiary may choose to apply the new standard in its consolidated, separate or individual financial statements provided that, at the reporting date:

- it does not have public accountability; and
- its parent produces consolidated financial statements under IFRS Accounting Standards.

A subsidiary applying IFRS 19 is required to clearly state in its explicit and unreserved statement of compliance with IFRS Accounting Standards that IFRS 19 has been adopted.

4 Material accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Other disclosures relating to the Company's exposure to risks and uncertainties includes:

- | | |
|--|---------|
| • Capital management | Note 7 |
| • Financial instruments risk management and policies | Note 32 |
| • Sensitivity analyses disclosures | Note 32 |

Notes to the Financial Statements

For the period ended 30 June 2026

Judgements

In the process of applying the Company's accounting policies, management has made the following judgements,

which have the most significant effect on the amounts recognised in the financial statements:

(a) Determining the lease term of contracts with renewal – Company as lessee

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

4 Material accounting judgements, estimates and assumptions (cont'd)

(b) Revenue from contracts with customers

The Company applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

Determining the timing of satisfaction of sales of feeds and concentrates

- The Company has a present right to payment for the goods;
- The customer has legal title to the goods;
- The Company has transferred physical possession of the asset and delivery note received;
- The customer has the significant risks and rewards of ownership of the goods; and
- The customer has accepted the goods

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing off the asset. The fair value of the assets is based on the market value. This is the price which an asset may be reasonably expected to be realised in a sale in a private contract. These estimates are most relevant to intangibles with indefinite useful lives recognised by the Company.

(b) Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for various customer segments that have similar loss patterns (i.e., by product type, customer type and rating).

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 19 and 31.4.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

4 Material accounting judgements, estimates and assumptions (cont'd)

(c) Depreciation and carrying value of property, plant and equipment

The estimation of the useful lives of assets is based on management's judgement. Any material adjustment to the estimated useful lives of items of property and equipment will have an impact on the carrying value of these items.

(d) Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax

5 Revenue from contracts with customers

5.1 Disaggregated revenue information

Set out below is the disaggregation of the Company's revenue from contracts with customers:

For the period ended 30 June 2026				
Segments	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000
Type of goods or service				
Sales of livestock feeds	6,850,446	5,231,706	2,741,369	14,823,521
Total revenue from contracts with customers	6,850,446	5,231,706	2,741,369	14,823,521
Geographical markets				
Within Nigeria	6,850,446	5,231,706	2,741,369	14,823,521
Total revenue from contracts with customers	6,850,446	5,231,706	2,741,369	14,823,521
Timing of revenue recognition				
Goods transferred at a point in time	6,850,446	5,231,706	2,741,369	14,823,521
Total revenue from contracts with customers	6,850,446	5,231,706	2,741,369	14,823,521
For the period ended 30 June 2025				
Segments	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000
Type of goods or service				
Sales of livestock feeds	10,623,378	7,011,230	3,168,319	20,802,926
Total revenue from contracts with customers	10,623,378	7,011,230	3,168,319	20,802,926
Geographical markets				
Within Nigeria	10,623,378	7,011,230	3,168,319	20,802,926
Total revenue from contracts with customers	10,623,378	7,011,230	3,168,319	20,802,926
Timing of revenue recognition				
Goods transferred at a point in time	10,623,378	7,011,230	3,168,319	20,802,926
Total revenue from contracts with customers	10,623,378	7,011,230	3,168,319	20,802,926

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

5 Revenue from contracts with customers (cont'd)

Performance obligations

Information about the Company's performance obligations are summarised below:

Sale of Animal feeds

The performance obligation is satisfied upon delivery of livestock feeds and payment is generally due within 90 days from

Contract balances

	2026	2025
	N'000	N'000
Trade receivables (Note 19)	625,895	224,297

6 Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision-maker has been identified as the Board of Livestock Feeds Plc. The Board members review the Company's internal reporting in order to assess performance and allocate resources. The directors have determined the operating segments based on these reports. Assessment of performance is based on operating profits of the operating segment that is reviewed by the Board. Other information provided to the Board is measured in a manner consistent with that of the financial statements.

The Company generated all its revenue in Nigeria. The Company operates only in the Feed Milling industry hence all information on the statement of profit or loss and other comprehensive income and statement of financial position remains the same with that of the segment information.

	2026	2025
	N'000	N'000
Revenue from contract with customers (Note 5)	14,823,521	20,802,926
Operating profit	2,094,426	2,052,265
Finance cost (Note 11)	(761,491)	(1,900,696)
Finance income (Note 10)	1,371	1,257
Profit before taxation	1,334,306	152,826
Minimum tax expense (Note 14 (v))	-	-
Income tax expense (Note 14 (i))	(192,126)	(50,433)
Total assets	15,163,933	10,136,485
Total liabilities	13,634,042	9,748,776

Revenue

The Company (all segments) produces animal feeds which is 100% of its turnover. Other products include Veterinary Drugs which is bought from other Companies for marketing and sales. All the products have similar risk and returns and are therefore considered as a single segment. Analysis of sales for the year is as follows:

	2026	2025
	N'000	N'000
Aba	6,850,446	10,623,378
Ikeja	5,231,706	7,011,230
Northern Operations	2,741,369	3,168,319
	14,823,521	20,802,926

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

6 Segment information (cont'd)

	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000
From external customers	6,850,446	5,231,706	2,741,369	14,823,521
Segment revenue	6,850,446	5,231,706	2,741,369	14,823,521
Material costs	(4,581,924)	(3,978,826)	(2,050,755)	(10,611,505)
Salaries and other staff benefit*	(211,166)	(240,237)	(83,687)	(535,090)
Depreciation	(49,009)	(47,973)	(36,785)	(133,767)
Other expenses	(182,129)	(204,887)	(109,154)	(496,170)
Gross profit	1,826,218	759,783	460,988	3,046,989
Selling and distribution expense	(35,135)	(46,887)	(22,378)	(104,400)
Trading profit	1,791,083	712,896	438,610	2,942,589
Other income	14,690	8,904	6,840	30,434
Profit from sales of raw materials	-	998	-	998
Sales of egg	36,643	-	-	36,643
Operating profit	1,842,416	722,798	445,450	3,010,664
Finance cost	(250,787)	(347,187)	(123,941)	(721,915)
Lease interest expenses	-	-	(39,576)	(39,576)
Contribution to margin	1,591,629	375,611	281,933	2,249,173

Head Office	N'000
Dividend income (Note 9)	893
Finance income (Note 10)	1,371
Laboratory income	1,462
Sales of scrap	4,018
Gain on disposal of assets (Note 9)	1,116
Miscellaneous income	633
Administrative cost (Note 8(iii))	(844,951)
Marketing cost	(79,408.00)
Profit before tax	1,334,306

	Head office	Aba	Ikeja	Northern Operations	Total
Segment assets and liabilities- 31 May 2026	N'000	N'000	N'000	N'000	N'000
Property, plant and equipment	1,172,582	458,124.00	312,485.00	11,535.00	2,078,857
Intangible assets	73,234	-	-	-	73,235
Right of use of assets	-	-	-	420,228	420,228
Deferred tax assets	-	-	-	-	-
Total Non-current Assets	1,245,816	458,124	312,485	431,763	2,572,320

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

Segment information (cont'd)

Segment assets and liabilities- 30 June 2026

	Head office	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000	N'000
Current assets					
Inventory*	2,558,115	4,191,336	2,495,367	2,038,925.0	11,283,743
Trade and other receivables*	-288,370	283,428	280,308	241,692	517,058
Refund assets	8,153	-	-	-	8,153
Prepayments	109,415	-	15,120	10,778	135,313
Other financial asset	17,283	-	-	-	17,283
Cash and cash equivalents	624,124	1,511	4,417	11	630,063
Total Current Assets	3,028,720	4,476,275	2,795,212	2,291,406	12,591,613

*The inventory balance at the head office represents materials held in Livestock feeds Plc warehouses and those held at external warehouses in Lagos and Shagamu while trade and other receivables represents receivables from debtors and

	N'000	N'000	N'000	N'000	N'000
Non-current liabilities					
Lease liabilities	-	-	-	253,030	253,030
Deferred tax liabilities	-	-	-	-	-
Employee benefits	658,380	-	-	-	658,380
Total Non-current Liabilities	658,380	-	-	253,030	911,410

	N'000	N'000	N'000	N'000	N'000
Current liabilities					
Trade and other payables	12,082,358	44,340	63,439	25,361	12,215,498
Short- term borrowings	-	-	-	-	-
Refund liabilities	8,195	-	-	-	8,195
Dividend payable	17,384	-	-	-	17,384
Current tax liabilities	400,590	-	-	-	400,590
Lease liabilities	80,965	-	-	-	80,965
Total Current Liabilities	12,589,492	44,340	63,439	25,361	12,722,632

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

Segment information (cont'd)

Segmental revenue and operating profit -30 June 2025

	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000
From external customers	10,623,378	7,011,230	3,168,319	20,802,926
Segment revenue	10,623,378	7,011,230	3,168,319	20,802,926
Cost of sales	(9,189,157)	(5,974,048)	(2,680,712)	(17,843,917)
Gross profit	1,434,221	1,037,181	487,607	2,959,009
Selling and distribution expense	(31,596)	(42,696)	(23,675)	(97,967)
Trading profit	1,402,625	994,485	463,932	2,861,043
Other income	25,831	12,063	7,171	45,066
Profit from sales of raw materials	-	7,398	-	7,398
Sales of egg	8,202			8,202
Operating profit	1,436,658	1,013,946	471,104	2,921,709
Finance expense	(783,607)	(795,757)	(290,292)	(1,869,656)
Lease interest expenses			(31,040)	(31,040)
Contribution to margin	653,051	218,189	180,812	1,021,013
Head Office				N'000
Dividend income (Note 9)				408
Interest income (Note 10)				1,257
Laboratory income				1,424
Sales of scrap				20
Gain on disposal of assets (Note 9)				55
Miscellaneous income				595
Administrative cost (Note 8(iii))				(816,427)
Marketing cost				(55,518)
Profit before tax				152,827

Segment assets and liabilities- 31 May 2025

	Head office	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000	N'000
Non-current assets					
Property, plant and equipment	1,126,975	458,201	201,183	49,967	1,836,326
Intangible assets	130,832	-	-	-	130,832
Right of use of assets	-	-	-	470,156	470,156
Deferred tax assets	54,183	-	-	-	54,183
Total Non-current Assets	1,311,990	458,201	201,183	520,123	2,491,497

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

Segment information (cont'd)

	Head office	Aba	Ikeja	Northern Operations	Total
	N'000	N'000	N'000	N'000	N'000
Current assets					
Inventory	7,565,468	3,673,828	3,856,429	2,544,200	17,639,924
Trade and other receivables	122,333	135,593	155,586	99,278	512,789
Refund assets	5,616	-	-	-	5,616
Prepayments	120,117	9,538	13,957	7,099	150,711
Other financial asset	17,283	-	-	-	17,283
Cash and cash equivalents	622,787	11	62	7	622,867
Total Current Assets	8,453,604	3,818,970	4,026,033	2,650,583	18,949,190
Non-current liabilities	N'000	N'000	N'000	N'000	N'000
Lease liabilities	-	-	-	261,957	261,957
Deferred tax liabilities					-
Employee benefits	358,380	-	-	-	358,380
Total Non-current Liabilities	358,380	-	-	261,957	620,337
Current liabilities	N'000	N'000	N'000	N'000	N'000
Trade and other payables	11,379,375	98,961	89,230	51,993	11,619,559
Short- term borrowings	5,621,181	-	-	-	5,621,181
Refund liabilities	6,240	-	-	-	6,240
Dividend payable	17,384	-	-	-	17,384
Current tax payable	68,923	-	-	-	68,923
Total Current Liabilities	17,093,103	98,961	89,230	51,993	17,333,286

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

7 Capital management

For the purpose of the Company's capital management, capital includes issued capital, share premium and retained earnings attributable to the equity holders of the Company. The primary objective of the Company's capital management is

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Company's policy is to keep the gearing ratio below 60% and a minimum B credit rating. The Company includes within net debt, interest bearing loans and borrowings, trade and other payables, less cash and bank balances.

	Note	2026 N'000	2025 N'000
Trade and other payables	25	12,215,498	8,711,932
Interest-bearing loans and borrowings	28	-	-
Cash and cash balances	22	(630,063)	(633,847)
Net debt		11,585,435	8,078,085
Total capital: Equity		1,529,888	387,708
Capital and net debt		13,115,323	8,465,793
Gearing ratio		88%	95%

No changes were made in the objectives, policies or processes for managing capital during the periods ended 30th June

8 Expenses by Nature

8(i) Cost of sales

		2026 N'000	2025 N'000
Change in inventories of finished goods and work in progress		10,611,504	16,880,939
Salaries and other staff benefit*		535,090	436,935
Business travelling expenses		19,504	23,158
Electricity and power		209,350	187,532
Depreciation of property, plant & equipment	13	108,803	101,882
Depreciation expense - (ROU)		24,964	24,964
Rent**		37,156	34,517
Security expenses		37,120	27,824
Local repair and renewal		82,801	80,143
Laboratory expenses		17,256	15,044
Research & development		44,004	7,283
Vehicle repairs expenses		11,433	2,820
Sundry vehicle expenses		1,802	1,942
Cleaning & sanitation		6,180	4,274
Office stationery & printing		5,787	2,461
Rates		4,104	50
Subscription		8,033	3,186
Information Technology		610	590
Other expenses ***		9,958	7,299
Total cost of sales		11,776,532	17,843,917

* Salaries & other benefits includes Employer Pension for the year ₦10,971,524 (2025: ₦8,139,922).

**Rent represents the cost incurred during the year for warehouse facilities located in Ikeja, Zaria, and Kano.

*** Other expenses includes computer repairs and maintenance, uniforms, telephone expenses, postal services and computer charges which were incurred by the Company during the year.

Notes to the Financial Statements - Continued

Expenses by Nature-continued

8(ii) Selling and distribution expenses	Notes	2026 N'000	2025 N'000
Salaries and other staff benefit*		97,452	78,275
Business travelling expenses		30,910	23,895
Distribution expenses		12,749	23,002
Corporate gifts/marketing investment		23,211	11,193
Depreciation of property, plant & equipment	13	13,014	11,204
Electricity and power		1,450	2,062
Local repair and renewal		956	25
Advertisement and publicity		-	613
Vehicle repairs, maintenance & fuelling		1,790	3,024
Other expenses **		2,278	192
		183,809	153,485

* Salaries & other benefits include Employer's Pension of ₦ 3,269,187 (2025: ₦2,832,435)

** Other expenses include all other expenses that are related to selling & distribution but not stated above such as, staff uniform, postages, and telephone expenses etc, which were incurred during the year.

8(iii) Administrative expenses		2026 N'000	2025 N'000
Salaries and other staff benefit*		300,796	223,952
Consultancy		67,648	40,576
Audit fee**		14,515	10,086
Non-audit related services ***		9,204	7,920
Subscription		5,436	5,384
Board expenses		34,100	30,795
AGM expenses		14,043	6,200
Information Technology		116,852	136,367
Depreciation of property, plant & equipment	13	14,172	10,401
Amortisation of intangible assets	13(i)	28,799	28,799
Insurance		45,025	47,346
Management service fees		159,353	222,203
Bank charges		6,712	12,784
Business travelling & entertainment		8,314	10,627
Electricity & power		4,875	5,061
Cleaning & sanitation		12	782
Security expenses		375	490
Office stationery & printing		2,757	768
Local repairs & renewal		750	2,711
Rent and rates		1,446	669
Advertisement & publicity		-	274
Legal Expenses		-	7,313
Vehicles repairs, maintenance & fueling		1,561	1,259
Other expenses ****		8,207	3,660
		844,951	816,427

* Salaries & Other benefits include Employer's Pension ₦7,090,559 (2025: ₦6,288,752).

** Audit Fees relates to the professional fees for our external auditor.

*** Non-Audit related services, relates to the professional fees for the limited Assurance Engagement performed on Management's Assessment of Internal Control over Financial reporting.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

9	Other operating income	Notes	2026 N'000	2025 N'000
	Sales of sacks		24,914	43,202
	Laboratory income *		1,812	1,643
	Weighing income**		2,955	1,522
	Sales of scrap		6,233	142
	Gain on disposal of property, plant and equipment		1,116	55
	Registration fees		633	595
	Dividend income		893	408
	Sales of eggs		36,643	8,202
	Profit on sales of raw materials***		998	7,398
	Total other operating income		76,196	63,168

* The Company has laboratories in Ikeja mill and Aba mill where third parties come for laboratory analysis and pay for this service.

** Third parties made use of the Company's weighbridge to weigh their trucks and goods in Ikeja mill and Onitsha operations during the year.

*** Profit on sales of raw materials such as soya oil, natuzyme etc

10	Finance income		2026 N'000	2025 N'000
	Interest income on short-term bank deposits		-	-
	Interest income - unclaimed dividend		1,116	1,045
			1,116	1,045
	Gain on unrealized foreign currency revaluation		255	212
			1,371	1,257

11	Finance cost		2026 N'000	2025 N'000
	Interest on loans		-	1,335,754
	Treasury expenses*		720,221	533,902
	Lease interest expenses		39,576	31,040
			759,797	1,900,696
	Loss on unrealized foreign currency revaluation		1,694	-
			761,491	1,900,696

*Treasury expenses relates to finance costs to be paid to the parent company, UAC of Nigeria Plc in respect of funding support provided to the Company to augment its working capital requirements.

12	Profit/ (loss) before taxation		2026 N'000	2025 N'000
	<i>Profit/ (loss) before taxation is stated after charging:</i>			
	Amortisation of intangible assets	13(i)	28,799	28,799
	Depreciation	13	160,953	148,452
	Auditors remuneration	8(iii)	23,719	18,006
	Staff cost	8(i,ii,iii)	933,338	739,162

13	Depreciation of property, plant & equipment		2026 N'000	2025 N'000
	Cost of sales	8(i)	133,767	126,846
	Selling and distribution expenses	8(ii)	13,014	11,204
	Administrative expenses	8(iii)	14,172	10,401
			160,953	148,452

(i)	Amortisation of intangible assets		2026 N'000	2025 N'000
	Cost of sales	8(i)	-	-
	Administrative expenses	8(iii)	28,799	28,799
			28,799	28,799

14 Taxation

(i) Income tax expense

The tax charge for the year has been computed after adjusting for certain items of expenditure and income, which are not deductible or chargeable for tax purposes, and comprises:

	2026 N'000	2025 N'000
Current tax expense:		
Company income tax	-	45,848
Minimum Tax	-	-
Development levy	-	-
Prior year under provision*	-	-
Education tax charge	-	4,585
Effective tax provision	192,126	-
	<u>192,126</u>	<u>50,433</u>
Deferred tax:		
Relating to origination and reversal of temporary differences	-	-
Income tax charge	<u><u>192,126</u></u>	<u><u>50,433</u></u>

(ii) Reconciliation of the effective tax rate

	2026 N'000	%	2025 N'000	%	%
(Loss)/Profit before income tax	1,334,306		152,826		
Income tax using statutory tax rate	-	-	854,206		559
Education tax at 3% of assessable profit	-	-	85,421		56
Police trust fund	-	-	142		0
Effect of income that is exempt from taxation	-	-	(152)		(0)
Non deductible expenses	-	-	80,634		53
Prior year under provision	-	-	126,855		83
Current year deductible temporary difference for which	-	-	-		-
Recognition of previously unrecognised tax losses	-	-	(187,969)		(123)
Derecognition of previously recognised deductible temp	192,126				
Recognition of previously unrecognised deductible temporary differences	-	-	(46,216)		(30)
Income tax recognised in profit or loss	<u><u>192,125</u></u>	<u>-</u>	<u><u>912,921</u></u>		<u><u>597</u></u>

Deferred tax

Deferred tax relates to the following:

	2026 N'000	2025 N'000
Property, plant and equipment	(54,183)	165,285
Employee benefits	-	(68,766)
Provisions	-	(238,988)
Unrealised exchange gain	-	1,098
Right of use assets	-	87,188
Lease Liability	-	-
Net deferred tax assets	<u><u>(54,183)</u></u>	<u><u>(54,183)</u></u>
Unrecognised deferred tax assets	-	-
Net deferred tax assets	<u><u>(54,183)</u></u>	<u><u>(54,183)</u></u>

The movement in deferred income tax assets and liabilities during the year, without taking into consideration the offsetting of balances within the same tax jurisdiction, is as follows:

	Property, plant and equipmen N'000	Employee benefits N'000	Provisions N'000	Exchange Difference N'000	Leases N'000	Total N'000
At 1 January 2025	(54,183)	-	-	1,098	-	(53,085)
Recognised in profit or loss	-	-	-	-	-	-
Recognised in other comprehensive income	-	-	-	-	-	-
At 31 December 2025	<u><u>(54,183)</u></u>	<u>-</u>	<u>-</u>	<u>1,098</u>	<u>-</u>	<u><u>(53,085)</u></u>
At 1 January 2025	(54,183)	-	-	-	-	(54,183)
Charged to profit or loss	54,183	-	-	-	-	(54,183)
At 30 June 2026	<u><u>-</u></u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u><u>-</u></u>

	2026 N'000	2025 N'000
(iii) Deferred tax reflected in the statement of financial position as follows:		
Deferred tax assets	-	-
Deferred tax liabilities	-	-
Deferred tax assets	-	-
	2026 N'000	2025 N'000
Current tax liabilities		
As of 1 January	208,464	840,249
Income tax expense for the year	192,126	189,974
Minimum tax		-
Payment during the year		(821,759)
As at 30 June/December	400,590	208,464

(iv) Minimum tax

Minimum tax has been computed based on effective tax provision in line with the Nigeria Revenue Tax Act 2025. The effective tax for the period is ₦124.91million (2025: Nil).

15 Earnings per share (EPS)

Basic EPS is calculated by dividing the profit for the year attributable to ordinary equity holders by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is calculated by dividing the profit attributable to ordinary equity holders by the weighted average number of ordinary shares outstanding during the year adjusted for any dilutive or potentially dilutive instruments.

The following table reflects the income and share data used in the basic and diluted EPS calculations:

	2026 N'000	2025 N'000
(Loss)/earnings attributable to ordinary equity holders for basic earnings	1,142,180	102,393
	Thousands	Thousands
Average number of ordinary shares for basic EPS	2,999,999	2,999,999
Basic earnings/ (loss) per share (Kobo)	38.07	3.41
Diluted earnings/ (loss) per share (Kobo)	38.07	3.41
Diluted earnings per share (Kobo)	38.07	3.41

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of authorisation of these financial statements.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

16(a) Property, plant and equipment

	Building	Machinery & Equipment	Motor Vehicles	Office Equipment	Computer equipment	work in progress	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Cost							
1 January 2025	299,409	1,559,278	251,965	71,688	126,444	953,000	3,261,788
Additions						394,134	394,134
Disposal	7,197	152,813	162,391	8,996	37,385	(368,782)	-
Reclassification			(10,418)	(262)	(1,264)		(11,944)
Transfers in/(out)						(23,327)	(23,327)
31 December 2025	306,607	1,712,092	403,939	80,424	162,565	955,025	3,620,651
Additions	-	5,645	147,275	-	-	203,609	356,529
Reclassification	-	158,354	-	11,816	28,369	(198,538)	-
Disposal	-	-	(1,301)	-	-	-	(1,301)
Transfers in/(out)	-	-	-	-	-	-	-
30 June 2026	306,607	1,876,091	549,913	92,240	190,934	960,096	3,975,879
Accumulated depreciation						-	
1 January 2025	172,303	1,091,606	119,268	53,897	81,000	-	1,518,074
Depreciation charge for the year	9,545	132,093	76,550	8,614	29,398	-	256,200
Disposal	-	-	(10,418)	(262)	(1,264)	-	(11,944)
31 December 2025	181,848	1,223,699	185,400	62,249	109,134	-	1,762,330
Depreciation charge for the year	4,836	60,899	45,176	4,609	20,471	-	135,991
Disposal	-	-	(1,301)	-	-	-	(1,301)
30 June 2026	186,684	1,284,598	229,275	66,858	129,605	-	1,897,022
Net book value							
1 January 2026	172,303	1,091,606	119,268	53,897	81,000	-	1,518,074
31 December 2025	124,759	488,394	218,539	18,174	53,431	955,025	1,858,321
30 June 2026	119,923	591,493	320,638	25,382	61,329	960,096	2,078,857

for liabilities during the year (2025: Nil). No contractual commitment on any of the Company's Property, plant and equipment.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

16(b). Analysis of Capital WIP into asset classes:

	2026 N'000	2025 N'000
Buildings	868,188	865,023
Machinery and Equipment	1,638.81	79,536
Computer Hardware	-	24,731
Motor Vehicle	90,268.75	-
	960,095	969,462

17 Intangible assets

Computer software with definite useful life

	2026 N'000	2025 N'000
Cost:		
At 1 January	290,682	275,833
Additions	-	14,849
At 30 June/31 December	290,682	290,682
Amortisation		
At 1 January	188,648	131,051
Amortisation	28,799	57,597
At 30 June/31 December	217,447	188,648
Carrying value	73,235	102,033

Computer software consists of acquisitions costs of software used in the day-to-day operations of the Company.

The Company had no capital commitments as at 30 June 2026 (2025: Nil). There were no capitalized borrowing costs related to the acquisition of intangibles assets during the year (2025: Nil).

There are no restrictions on the Company's title to its intangible assets. All intangible assets items are non-current. There are no impairment losses for the year (2025:Nil).

18 Inventories

	2026 N'000	2025 N'000
Raw materials	10,096,302	5,892,576
Finished goods	775,800	385,171
Veterinary drugs	37,199	72,656
Engineering spares	326,605	337,174
Diesel	47,837	34,206
	11,283,743	6,721,783

Changes in inventories in the statement of cashflows

	2026 N'000	2025 N'000
Inventories at 1 January	6,721,783	19,332,397
Inventories at 30 June	11,283,743	17,639,924
	(4,561,960)	1,692,473

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

19 Trade and other receivables

	2026 N'000	2025 N'000
Receivables from third-party customers	625,895	224,297
Allowance for expected credit losses	(161,569)	(161,569)
Bad debt written off	33,829	-
	498,155	62,728
Related parties receivables (Note 28)	-	18,629
Other receivables	18,820	18,502
	516,975	99,859
Advance payments to suppliers*	83	13,150
	517,058	113,009
Refund asset	8,153	8,153
	525,211	121,162

Trade receivables are non-interest bearing and are generally on terms of 90 days. For terms and conditions relating to related party receivables, refer to Note 29

*Advance payments to suppliers relates to cash deposit to the suppliers of raw materials used in production of animal feeds.

Due to the short-term nature of the current receivables, their carrying amount is assumed to approximate their fair value. Set out below is the movement in the allowance for expected credit losses of trade and other receivables:

	2026 N'000	2025 N'000
As at 1 January	(161,569)	(97,953)
During the year	33,829	(63,616)
At 30 June/31 December	(127,740)	(161,569)

The information about the credit exposures are disclosed in Note 32

	2026 N'000	2025 N'000
Changes in trade and other receivables in the statement of cashflows		
Trade and other receivables at 1 January	121,162	158,236
Trade and other receivables at 30 June	525,211	518,405
	(404,049)	(360,169)
Impairment of trade receivables		-
	(404,049)	(360,169)

Refund assets

Right of return asset represents the Company's right to recover the goods expected to be returned by customers. The asset is measured at the former carrying amount of the inventory, less any expected costs to recover the goods, including any potential decreases in the value of the returned goods. The Company updates the measurement of the asset recorded for any revisions to its expected level of returns, as well as any additional decreases in the value of the returned products.

	2026 N'000	2025 N'000
As at 1 January	8,153	5,616
Amount deferred as a result of unexpired rights	5,616	8,153
Cost of sales recognized in the period from:		
Expired right not exercised	(5,616)	(5,616)
As at 30 June/31st December	8,153	8,153

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

20 Prepayments

	2026	2025
	N'000	N'000
Due within one year:		
Others*	79,549	95,020
Short-term lease prepayments**	9,444	43,962
Insurance	46,320	89,629
	135,313	228,611
Due within 2-3 years:		
Others*	-	8,252
	-	8,252

*Others relates to SAP licence fee, internet services, generator maintenance and training etc during the year.

**Short-term lease prepayments

These were lease payments for Warehouse made during the year for a lease period of one year. The Company's obligations under its leases are secured by the lessor's title to the leased assets. The Company applies the short-term lease recognition exemption for these leases.

Short-term leases are those including extension options reasonably certain to be exercised, with a total term of 12 months or less. Contracts that were in existence at the transition date, 1 January 2019, are assessed as short-term leases based on the transition date. All other contracts are assessed as short-term leases based on the contract start date.

Changes in prepayments in the statement of cashflows

	2026	2025
	N'000	N'000
Prepayments at 1 January	236,863	249,671
Prepayments at 30 June	135,313	150,711
	101,550	98,960

21 Right of Use assets

	2026	2025
	N'000	N'000
Opening balance	445,192	495,120
Addition	-	-
Depreciation	(24,964)	(49,928)
Closing Balance	420,228	445,192

In 2024, the Company entered into a lease agreement with Northern Rice and Oil Mill factory & equipments for a lease period of ten years. The lease will expire on 30th November 2034.

22 Cash and bank balances

	2026	2025
	N'000	N'000
Cash on hand	-	5
Cash at bank	630,063	633,842
	630,063	633,847

23 Other financial asset (unclaimed dividend funds)

	2026	2025
	N'000	N'000
Unclaimed dividend funds*	17,283	17,283
	17,283	17,283

* Other financial assets relates to 90% of unclaimed dividend returned by the registrar of the Company. The amount is placed in a fixed deposit account by the Company. This is in compliance with the directives of the Nigeria Securities and Exchange Commission.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

23 Other financial asset (unclaimed dividend funds) (cont'd)

Interest Income earned on Unclaimed dividend funds till date

	2026 N'000	2025 N'000
Interest earned	9,654	8,538
	9,654	8,538

For the purpose of the statement of cash flows, cash and cash equivalents comprise cash on hand, cash at bank and call deposit as included below.

	2026 N'000	2025 N'000
Cash on hand, cash at bank and call deposit*	630,063	633,847

*Call deposits are made for varying periods of between one month and three months depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates. During the reporting period, an expected credit loss assessment was performed on these (cash and cash equivalents) balances. The impairment allowance is considered immaterial.

24 Issued capital and reserves

Ordinary shares issued and fully paid

2,999,999,418 ordinary shares of 50kobo each

Share premium

At 1 January

At 30 June

	N'000	N'000
Ordinary shares issued and fully paid	1,500,000	1,500,000
Share premium		
At 1 January	693,344	693,344
At 30 June	693,344	693,344

25 Trade and other payables

Trade payables

Related parties (Note 29)

Other payables (Note 25(i))

Refund liabilities (Note 25(ii))

Trade payables	3,334,461	665,185
Related parties (Note 29)	8,256,614	7,368,923
Other payables (Note 25(i))	624,423	677,824
	12,215,498	8,711,932
Refund liabilities (Note 25(ii))	8,195	8,195
	12,223,693	8,720,127

Changes in trade and other payables in the statement of cashflows

	2026 N'000	2025 N'000
Trade and Other Payables at 1 January	8,720,127	4,990,091
Impact of treasury expenses	(720,221)	-
Trade and Other Payables at 30 June	12,223,693	11,625,799
	2,783,345	6,635,708

Terms and conditions of the above financial liabilities:

- Trade payables are non-interest bearing and are normally settled on 60-day terms
- Other payables are non-interest bearing and have an average term of six months
- For terms and conditions with related parties, refer to Note 29

For explanations on the Company's liquidity risk management processes, refer to Note 33

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

25(i) Other payables

	2026	2025
	N'000	N'000
Value added tax payable	736	2,277
Accrued liabilities	605,337	1,175,262
Withholding tax payable	13,863	56,228
Pay as you earn payable	1,067	15,141
Industrial training fund payable	3,355	10,709
Pension	65	79
	624,423	1,259,696

25(ii) Refund liabilities

Refund liabilities	8,195	8,195
	8,195	8,195

(i) Refund liabilities

A refund liability is the obligation to refund some or all of the consideration received (or receivable) from the customer and is measured at the amount the Company ultimately expects it will have to return to the customer. The Company updates its estimates of refund liabilities (and the corresponding change in the transaction price) at the end of each reporting period. Refer to accounting policy on variable consideration. See breakdown of refund analysis below:

	2026	2025
	N'000	N'000
As at 1 January	6,240	6,240
Amount deferred as a result of unexpired rights	6,240	6,240
Revenue recognized in the period from:	-	-
Expired right not exercised	(6,240)	(6,240)
As at 30 June/31 December	8,195	6,240

Net refund liabilities consist of the following at December 31:

(In thousands of naira)	2026	2025	Change	Change
Refund assets	8,153	5,616	2,537	45%
Refund liabilities	(8,195)	(6,240)	(1,955)	31%
Net refund liabilities	(42)	(624)	582	-93%

26 Lease Liability

	2026	2025
	N'000	N'000
Opening balance	294,419	230,917
Addition during the year	-	-
Lease interest expenses	39,576	63,502
Lease principal paid during the year	-	-
Lease interest paid during the year	-	-
	333,995	294,419
Splitting into Current and Non-Current		
Current	80,965	80,965
Non-Current	253,030	213,454
	333,995	294,419

This relates to lease liability on Northern Rice and Oil Mill factory & equipments. See Note 21 for details

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

27 Dividend payable

Amounts recognised as dividend payable to ordinary shareholders in the year comprise:

	2026 N'000	2025 N'000
As at 1 January	(17,384)	(17,384)
As at 30 June	(17,384)	(17,384)

28 Interest-bearing loans and borrowings

	2026 N'000	2025 N'000
Borrowings -Current		
Commercial loan - First Bank of Nigeria Limited (FBN)	-	7,317,367
Commercial loan - Zenith bank Pc	-	6,396,984
	-	13,714,351

Reconciliation of interest-bearing loans and borrowings

As at 1 January	0	13,714,351
Additions		10,310,146
Interest charged on loans		1,771,835
Principal repayments		(23,571,831)
Interest repayments		(2,224,501)
As at 30 June	-	0

Interest-bearing loans and borrowings include the following:

- a) As of 30th June 2026, there is no outstanding bank borrowing as all loans have been fully settled.

- b) *UAC of Nigeria Plc sourced a commercial paper amounting to ₦7.0 billion on behalf of the Company. The tenor of the facility is 270 days, with a maturity date of July 2026 and is treated as inter company loan.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

29 Related party disclosures

The immediate and ultimate parent, as well as controlling party of the Company is UAC of Nigeria Plc incorporated in Nigeria. There are other companies that are related to Livestock Feeds Plc through common shareholdings and directorship. The following table provides the total amount of transactions that have been entered into with related parties during the year.

Related party disclosures

	Relationship	Management service fees	Purchases from related parties	Sales to related parties	Amounts owed by related parties	Amounts owed to related parties
As at 30 June 2026		N'000	N'000		N'000	N'000
Entity with control over the Company:						
UAC of Nigeria Plc	Parent Company	159,353	-	-	-	8,174,464
Other related party						
UAC Foods Ltd	Fellow Subsidiary	-	-	-	-	-
CAP PLC	Fellow Subsidiary	-	-	-	-	-
Grand Cereals Nigeria Limited	Fellow Subsidiary	-	95,747	-	-	82,150
		159,353	95,747	-	-	8,256,614
As at 30 June 2025						
Entity with control over the Company:						
UAC of Nigeria Plc	Parent Company	222,203	-	-	-	6,557,190
Other related party:						
UAC Foods Ltd	Fellow Subsidiary	-	-	-	-	-
CAP PLC	Fellow Subsidiary	-	-	-	-	-
Grand Cereals Nigeria Limited	Fellow Subsidiary	-	194,673	132,889	-	138,489
		222,203	194,673	132,889	-	6,695,679

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or

30 Commitments

The directors are of the opinion that all known liabilities and commitments which are relevant in assessing the state of affairs of the Company have been taken into consideration in the preparation of these financial statements.

Notes to the Financial Statements - Continued

For the Period ended 30 June 2026

Financial instruments risk management objectives and policies- continued

33 (iii) Impairment allowance for financial assets (cont'd)

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

In order to avoid excessive concentrations of risk, the Company's policies and procedures include specific guidelines to focus

on the maintenance of a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly.

Set out below is the information about the credit risk exposure on the Company's trade and other receivables using a provision matrix:

	Days past due					Total N'000
	Current N'000	<90 days N'000	90–180 days N'000	180–360 days N'000	>360 days N'000	
30-Jun-26						
Expected credit loss rate	25%	60%	80%	90%	100%	
Estimated total gross carrying amount at default	408,095	127,487	90,313	-	-	625,895
Expected credit loss	(102,024)	(76,492)	(72,250)	-	-	(250,765)
30-Jun-25						
Expected credit loss rate	25%	60%	80%	90%	100%	
Estimated total gross carrying amount at default	53,018	46,222	1,926	34,345	88,786	224,297
Expected credit loss	(13,254)	(27,733)	(1,541)	(30,911)	(88,786)	(162,223)

Set out below is the movement in the allowance for expected credit losses of trade receivables:

	2026 N'000	2025 N'000
Balance as at 1 January 2025	(161,569)	(97,953)
Expected credit loss	-	-
Impairment/Bad debt written off	33,829	(63,616)
Balance at 30 June	(127,740)	(161,569)

34(i) Staff numbers and costs

The table below shows the number of employees (excluding directors), who earned over N500,000 as emoluments in the year and were within the bands stated.

Staff Numbers by function	2026 Number	2025 Number
Direct	58	59
Admin	25	15
Sales & marketing	20	22
	103	96

Notes to the Financial Statements - Continued

For the Period ended 30 June 2026

31 Legal claim contingency

There is no contingent liability arising as a result of litigation as at year end (2025: Nil).

32 Financial assets and financial liabilities

Financial assets

	2026 N'000	2025 N'000
Cash and bank balances (Note 22)	630,063	633,847
Trade and other receivables (Note 19)	516,975	99,859

Financial liabilities

Financial liabilities at amortised cost

	2026 N'000	2025 N'000
Borrowings (Note 28)	-	(13,714,351)
Trade and other payables (Note 25)	(12,215,498)	(8,711,932)

Trade and other payables here exclude VAT and withholding tax payable

33 Fair values

The carrying value of all financial assets and financial liabilities is a reasonable approximation of their fair value due to their current nature and the consequent insignificance of discounting no further fair value disclosures have been made.

The Company's principal financial liabilities comprise trade and other payables and Borrowings. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets include trade receivables, and cash and bank balances that it derive directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management is supported by the audit and governance committee of the Board that advises on risks and the appropriate risk governance framework for the Company. The audit and governance committee of the Board provides assurance to the Company's senior management that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Board of Directors reviews and agrees policies for managing each of these risks, which are summarised below.

Risk	Exposure arising from	Measurement	Management
Market risk – foreign exchange	Future commercial transactions, Recognised financial assets and liabilities not denominated in Naira	Cash flow forecasting Sensitivity analysis	Contractual agreements on exchange rates
Market risk – interest rate	Long-term borrowings at variable rates	Sensitivity analysis	Interest rate negotiations
Credit risk	Cash and cash equivalents, Trade receivables.	Aging analysis Credit ratings	Diversification of bank deposits, credit limits and letters of credit. Investment guidelines and held-to-maturity investments.
Liquidity risk	Borrowings and other liabilities		Availability of committed credit lines and borrowing facilities.

Notes to the Financial Statements - Continued
For the period ended 30 June 2026

33 Fair values (Cont'd)

		Fair Values		
	Carrying Amount N'000	Level 1 N'000	Level 2 N'000	Level 3 N'000
30 June 2026				
Financial assets at amortised cost				
Trade and other receivables - Note 19	142,570	-	142,570	-
Cash and Cash equivalents - Note 22	630,063	-	630,063	-
	772,633	-	772,633	-
Financial liabilities at amortised cost				
Lease liabilities - Note 26	333,995	-	333,995	-
Trade and other payables - Note 25	10,985,738	-	10,985,738	-
Loans and borrowings - Note 28	-	-	-	-
	11,319,733	-	11,319,733	-

		Fair Values		
	Carrying Amount N'000	Level 1 N'000	Level 2 N'000	Level 3 N'000
30 June 2025				
Financial assets at amortised cost				
Trade and other receivables - Note 19	99,859	-	99,859	-
Cash and Cash equivalents - Note 22	633,847	-	633,847	-
	733,706	-	733,706	-
Financial liabilities at amortised cost				
Lease liabilities - Note 26	294,419	-	294,419	-
Trade and other payables - Note 25	9,209,370	-	9,209,370	-
Loans and borrowings - Note 28	0	-	0	-
	9,503,789	-	9,503,789	-

Financial instruments risk management objectives and policies

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a foreign currency). The Company's exposure to foreign currency risk at the end of the reporting period expressed in the individual foreign currency unit was as follows:

	2026			2025		
	\$'	€'	£'	\$'	€'	£'
Financial Assets						
Cash and Cash Equivalent	1,758	379	450	1,885	379	450
Financial Liabilities						
Net exposure	1,758	379	450	1885	379	450

The following significant exchange rate were applied during the year:

	Average Rate during the year		Reporting date spot rate	
	2026	2025	2026	2025
	₦	₦	₦	₦
US\$ 1	1,380.00	1,536.82	1,536.82	1,536.82
Euro (€) 1	1,592.83	1,662.14	1,662.14	1,662.14
GBP	1,825.97	1,985.04	1,985.04	1,985.04

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

Foreign currency sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD, EURO and GBP exchange rates, with all other variables held constant. The impact on the Company's profit before tax is due to changes in the fair value of monetary assets and liabilities.

	30-Jun-26	30-Jun-25
	Decrease in profit or loss	Decrease in profit or loss
	N'000	N'000
USD (20% weakening) (2024: 20% weakening)	(506,176)	(579,920)
EURO (20% weakening) (2024: 20% weakening)	(128,160)	(121,123)
GBP (20% weakening) (2024: 20% weakening)	(174,588)	(173,565)

A 20% strengthening of the Naira against the US dollar, Euro and Great British Pounds would have had the equal but opposite effect to the respective amounts shown above, on the basis that all other variables remain constant.

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and cash equivalents and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due and to close out market positions.

Management monitors rolling forecasts of the Company's liquidity reserve and cash and bank balances (Note 21) on the basis of expected cash flows.

This is generally carried out at each of the respective mills in accordance with practice and limits set by the Company. These limits vary to take into account the liquidity of the market in which the entity operates. In addition, the Company's liquidity management policy involves projecting cash flows in major currencies and considering the level of liquid assets necessary to meet these, monitoring balance sheet liquidity ratios against internal and external regulatory requirements and maintaining debt financing plans.

The table below summarises the maturity profile of the Company's financial liabilities based on contractual undiscounted payments:

30 June 2026

	Contractual cash flows	
	Less than 3 months	3 to 12 months
Carrying amount		
N'000	N'000	N'000
Trade and other payables	12,223,693	-
Interest-bearing loans and borrowings	-	-
	12,223,693	-

30 June 2025

	Contractual cash flows	
	Less than 3 months	3 to 12 months
Carrying amount		
N'000	N'000	N'000
Trade and other payables	11,262,928	-
Interest-bearing loans and borrowings	8,366,096	8,366,096
	19,629,024	8,366,096

Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions, as well as credit exposures to related parties and to customers, including outstanding receivables.

(i) Risk management

Credit risk is managed on a Company basis. For banks and financial institutions, only independently rated parties with a minimum national rating of 'A' are accepted.

There is no independent rating for customers. Risk control assesses the credit quality of the customer, taking into account its financial position, past experience and other factors. The compliance with credit limits by customers is regularly monitored by line management.

Sales to customers are required to be settled in cash or using major credit cards, mitigating credit risk. There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions. The credit ratings of the investments are monitored for credit deterioration.

Notes to the Financial Statements - Continued

For the period ended 30 June 2026

Financial instruments risk management objectives and policies- continued

(ii) Security

No security is obtained for trade receivables either in the form of guarantees, deeds of undertaking or letters of credit which can be called upon if the counterparty is in default under the terms of the agreement. However, some customers are required to provide postdated cheques for credit transactions while others are granted credit on the strength of their credibility and past performances. In the case of default, unpaid balances are set off against security deposit while others are referred to debt collection agents.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates. There are no credit ratings for Livestock feeds plc trade and other receivables.

	2026	2025
	N'000	N'000
Cash at bank and short-term bank deposits A+(nga)	647,346	622,822
Unrated cash and cash equivalents	-	45
Unrated trade and other receivables	517,058	345,426
Maximum credit exposure	1,164,404	968,293

(iii) Impairment of trade receivables

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due of various customer segments with similar loss patterns (i.e., by geographical region, product type and customer type). The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. Generally, trade receivables are written-off if past due for more than one year and are not subject to enforcement activity. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in Note 32. The Company does not hold collateral as security. The Company evaluates the concentration of risk with respect to trade receivables as low, as its customers are located in several states, unrelated and diverse.

Impairment allowance for financial assets

In assessing the Company's internal rating process, the Company's customers and counter parties are assessed based on a credit scoring model that takes into account various historical, current and forward-looking information such as:

Any publicly available information on the Company's customers and counter parties from Internal parties. This includes Internal rating grades issued by rating agencies, independent analyst reports, publicly traded bond or press releases and articles.

Any macro-economic or geopolitical information, e.g., GDP growth relevant for the specific industry and geographical segments where the customers operates.

Any other objectively supportable information on the quality and abilities of the client's management relevant for the Company's performance.

The Company monitors its risk of a shortage of funds using a liquidity planning tool.

Notes to the Financial Statements - Continued

For the Period ended 30 June 2026

34(i) Staff numbers and costs (cont'd)

	2026 Number	2025 Number
₦0-₦500,000	-	-
₦500,001-₦600,000	-	-
₦600,001-₦700,000	-	-
₦700,001-₦800,000	-	-
₦800,001-₦1,000,000	-	-
₦1,000,001-₦1,200,000	1	1
₦1,200,001-₦1,300,000	-	-
₦1,300,001- ₦1,500,000	2	2
Above ₦1,500,000	100	97
	103	100

Staff costs for the above persons (excluding Non-Executive Directors):

	2026 N'000	2025 N'000
Salaries and wages	1,443,749	627,463
Pension cost	21,330	14,491
	1,465,079	641,954

(ii) Emoluments of Non-Executive Directors

	2026 N'000	2025 N'000
(a) Fees	3,000	3,125
Passage allowance	12,000	15,208
Other emoluments	4,100	12,462
	19,100	30,795
(b) The Chairman's emoluments	4,000	813

(iii) Key management compensation

Key management have been defined as the managing director and executive committee members

	2026 N'000	2025 N'000
Key management compensation includes:		
Short-term employee benefits:		
Wages and salaries - Managing Director	45,657	23,750
Wages and salaries - Executive Committee Members	81,899	57,170
	127,556	80,920

(iv) Other long term employee benefits

The movement in the Company's other long term employee benefits is shown below:

	2026 N'000	2025 N'000
Balance at 1 January	508,380	208,380
Additions during the year	150,000	300,000
At 30 June/31 December	658,380	508,380
Non-current	508,380	208,380
Current	150,000	300,000
	658,380	508,380

The Company has a 5-year long term incentive plan which commenced with effect from 2024 (year1). The benefit for 2025 has been discounted at 19.99% which represents the interpolated yield on government bonds that are due to mature on 31 December 2026.

Notes to the Financial Statements - Continued
For the Period ended 30 June 2026

35 Technical support agreements

The Company has commercial services agreement with UACN Plc for support services. Expense for management services fee (representing 1% of net turnover of the Company excluding intercompany sales to Grand Cereals Limited) is ₦193.08 million (2025: ₦124.20million).

36 Events after the reporting period

There were no events after the reporting date that require adjustment in the financial statements of the Company that had not been adequately provided for or disclosed in the financial statements.

37 Securities trading policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule) Livestock Feeds Plc maintains a Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Policy undergoes periodic reviews by the Board and is updated accordingly. The Company has made specific inquiries of all its directors and other insiders and is not aware of any infringement of the policy during the period.

38 Provision of Audit and non-audit Services

In compliance with FRC Rule No 3 mandating the disclosure of the value and the nature of the audit and non-audit services provided by Company's external auditor, KPMG Professional Services. The Company engaged KPMG for the limited Assurance Engagement performed on Management's Assessment of Internal Control over Financial reporting which is a Non-Audit services. See Note 8(iii) for details.

40 Free Float Compliance

Livestock Feeds Plc with a free float percentage of 26.71% (2025: 26.71%), is compliant with the Exchange's free float requirements for companies listed on the Main Board.

Livestock Feeds Plc-Free Float Computation

Company Name: Livestock Feeds Plc
Board Listed: Main Board
Period End: 30 June
Reporting Period: 30 June
Share Price at end of reporting period: ₦7.95 (2025: ₦8.90)

Shareholding Structure/Free Float

Description	30-Jun-26		30-Jun-25	
	Units	Percentage	Unit	Percentage
Issued Share Capital	2,999,999,418	100%	2,999,999,418	100%
Substantial Shareholdings (5% and above)				
UAC of Nigeria Plc	2,198,745,772	73.29%	2,198,745,772	73.29%
Total Substantial Shareholdings	2,198,745,772	73.29%	2,198,745,772	73.29%
Directors' Shareholdings (direct and indirect)				
Mr. Joseph Dada	-	-	-	-
Mr. Adebolanle Badejo	-	-	-	-
Mr. Adegboyega Adedeji	-	-	-	-
Mrs. Chiamaka Uwaegbute	-	-	-	-
Mrs. Temitope Omodele	-	-	-	-
Mr Abayomi Adeyemi	-	-	-	-
Other Influential Shareholdings				
Total Other Influential Shareholdings				
Free Float in Units and Percentage	801,253,646	26.71%	801,253,646	26.71%
Free Float in Value (₦)	6,369,966,485.70		7,131,157,449.40	

Declaration:

(A) Livestock Feeds Plc with a free float percentage of 26.71% as at 30 June 2026, is compliant with the Exchange's free float requirements for companies listed on the Main Board.